

**Time:** 5 minutes**Outcome:** Analyze AD-AS equilibrium, demand shocks, supply shocks, and stagflation.**Difficulty:**

●●○ Intermediate

Macroeconomic Equilibrium and Shocks



THE CORE IDEA

Macroeconomic equilibrium occurs where aggregate demand intersects short-run aggregate supply, while long-run equilibrium also requires output to equal potential. A supply shock creates a tradeoff: supporting output can worsen inflation, while fighting inflation can worsen unemployment. An adverse supply shock shifts SRAS left, lowering output and raising prices. Both shocks lower the price level, while one lowers output and the other raises it. Similar magnitudes can leave output nearly unchanged.



HOW TO RECOGNIZE IT

- Use the intersection of aggregate demand and short-run aggregate supply to find short-run output and the price level.
- Compare short-run output with potential output shown by long-run aggregate supply.
- A demand shock moves output and the price level in the same direction; a supply shock moves them in opposite directions.
- When both curves shift, analyze each change separately before combining their effects.

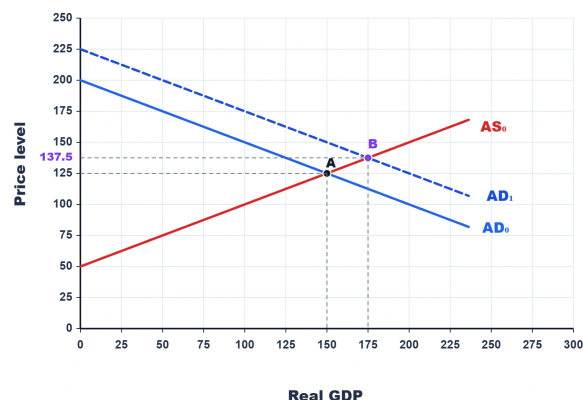


WATCH OUT

Do not treat a negative demand shock and positive supply shock as if they move both outcomes in the same direction. Lower aggregate demand and higher short-run aggregate supply both reduce the price level, but they push output in opposite directions.



WORKED EXAMPLE: COMBINING AD-AS SHOCKS



The aggregate-demand increase moves equilibrium from point A, with real GDP of 150 and price level 125, to point B, with real GDP of 175 and price level 137.5. Output rises by 25 and the price level by 12.5, the standard short-run demand-expansion pattern.



CHECK YOURSELF

If AD falls while SRAS also falls, what outcome is certain?

**READY?****Return to the game and master this concept.**